

Calderwood Partners LLC

www.calderwoodpartners.com

June 15, 2009

Sandra Frazier
Vice President, Finance
Brown and Sons

Re: Engagement to reduce operating cost at Brown and Sons

Dear Ms. Frazier:

This letter sets out the terms on which Calderwood Partners will help Brown and Sons take cost out of its operations, and asks for your signature so the work can begin. It is written to be read in full, but the shape of it is plain: a defined scope, a small senior team, a fixed fee, and a firm start. Where this letter and any later change of scope disagree, the later signed change governs; nothing else does.

What the engagement covers

We will build a clear, defensible picture of where Brown and Sons spends its money to operate, and a costed plan to reduce that spend without harming the parts of the business that are working. The work runs across four areas: a current-state cost baseline drawn from your own general ledger and headcount records; third-party and procurement spend; the cost of your main operating processes, including rework and duplication; and the cost of overhead, spans of control, and support functions. In each area we identify the opportunities to reduce cost, size them against the baseline, and separate the ones that can be captured quickly from the ones that require a structural change. The deliverables are a validated baseline, a sized and prioritized set of savings opportunities, a phased business case, and an implementation roadmap your own managers can run from. We do not implement the changes under this engagement, and we do not carry out headcount decisions on your behalf; the choices remain yours, and we leave you able to make them on the evidence.

How we will proceed

We work from your figures rather than from benchmarks carried in from elsewhere, so that every number in the final case can be traced to a source your team already trusts. The approach moves in sequence, diagnostic before design and design before planning, and each stage is reconciled to the one before it so that the recommendation at the end rests on the baseline at the start. We will hold a short status contact with your office each week so that nothing waits a month to surface, and we will bring you interim findings as they firm up rather than holding everything for a single reveal. Any finding that carries a material figure

will be shown with the basis for that figure attached, not as a headline number you are asked to take on trust.

The team

Michael Walker will manage the engagement and be your day-to-day point of contact. James Green, a *senior associate*, leads the cost baseline and the spend analysis. Deborah Gordon, an associate, carries the operations work and the synthesis into the business case. I oversee the engagement and review what leaves this office. This is the team we intend to keep on the work from start to finish; if a change becomes unavoidable we will tell you before it happens, not after. The team will work closely with your finance group throughout, and we will look to your office as the point that resolves questions of access and priority on your side.

What we will need from you

The work depends on timely access to three things: your data, your people, and your decisions. We will ask for general-ledger and headcount extracts and for the principal vendor contracts early, and we will need *short interviews with the managers who run your main operations*. A single coordinator on your side, empowered to clear access and to keep the schedule moving, makes the difference between a program that holds its dates and one that slips waiting on inputs. Where a decision from your leadership is on the critical path, we will flag it in advance so it does not become the thing that delays the rest.

Fees and payment

Our fee for the engagement as scoped above is a fixed professional fee of \$48,500, invoiced in equal monthly installments across the term and payable within thirty days of each invoice. Reasonable out-of-pocket expenses, principally travel to your sites, are billed at cost and itemized. The fee is fixed against the scope described here; work that falls plainly outside it will be brought to you and quoted before any of it is done, never billed as a surprise at the end.

Start and term

Subject to your signature, the work will commence on June 25, 2009 and is expected to run approximately seven months. Either of us may end the engagement on written notice; in that event you owe fees for work performed and expenses incurred to the date the notice takes effect, and we return or dispose of your materials as you direct.

Confidentiality

Each side will hold the other's non-public information in confidence and use it only for this engagement. The analysis, reports, and recommendations we prepare for you are yours to use within your organization. The general methods, tools, and know-how we bring to the work remain ours, and nothing here prevents us

from serving other clients, including others in your industry, so long as your confidential information stays protected.

Limitation of liability

Our aggregate liability arising out of this engagement is limited to the fees actually paid to us under it, and *neither side is liable to the other for indirect or consequential loss. This limit does not apply to a party's own fraud or willful misconduct.* This paragraph reflects the fixed price of the work and is a considered part of these terms rather than boilerplate.

Governing law

This agreement is governed by the laws of the state in which Calderwood Partners maintains its principal office, without regard to its conflict-of-laws rules. Any dispute that the two of us cannot settle directly will be resolved in the courts of that state.

If these terms are acceptable, please countersign in the space below and return one signed copy to this office. Your signature authorizes us to begin the work described above. We are glad to be doing this with Brown and Sons and expect to be underway shortly after we hear from you.

Julie Ramsey

Managing Principal

Date: June 15, 2009

Sandra Frazier

VP Finance, Brown and Sons

Date: June 15, 2009